



NKANGALA DISTRICT MUNICIPALITY

☎ 013-249-2000
✉ 437 or 2032
Middelburg 1050
www.nkangaladm.gov.za

📍 2A Walter Sisulu Street
Middelburg 1050
✉ records@nkangaladm.gov.za

My Ref.: 13/7/1/2 – 149737 (DJD Mahlangu/rci)
Your Ref.:

12 April 2021

Messrs. Sithembe Transport and Projects (Pty) Ltd
P.O. Box 337
Tweefontein G
KwaMhlanga
1022

For Attention: Mr. M.V. Lukhele

Email: sithembe.projects@yahoo.co.za

Dear Sir,

RE: PROJECT NUMBER 149737 – CONSTRUCTION OF EMPUMELELWENI BUS AND TAXI ROAD IN EMALAHLENI LOCAL MUNICIPALITY – APPOINTMENT OF A CONTRACTOR

The subject-mentioned matter bears reference.

It is my pleasure to inform you that the subject-mentioned project has been resolved by Nkangala District Municipality as follows:

1. THAT the tender submitted by Messrs. Sithembe Transport and Projects (Pty) Ltd is accepted for a total offer of R 5 587 980.00 excluding VAT.
2. THAT the total Budget and Project Cost is broken down as follows:

Description	Amount
Allocated Budget: 2020/ 2021 FY	R 6 000 000.00
Total Budget Available	R 6 000 000.00
Construction Cost: Construction Amount	R 5 587 980.00
Total Construction Amount (Excluding VAT)	R 5 587 980.00

3. THAT the Contractor is advised of the contents of number 1 above and, further pointed out that the Consulting Engineer is not empowered to issue instructions for the carrying out of any additional work or for any variations which may cause the total cost to exceed the appointment amount, except where the Consulting Engineer has provided proof to the Contractor that any additional expenditure to the project has been authorized by Nkangala District Municipality in writing under the signature of the Municipal Manager.

M. M.

Vision: Improved quality of life for all

**PROJECT NUMBER 149737 – CONSTRUCTION OF EMPUMELELWENI BUS AND
TAXI ROAD IN EMALAHLENI LOCAL MUNICIPALITY – APPOINTMENT OF A
CONTRACTOR**

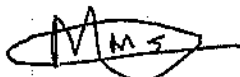
4. **THAT** the project is for a period of **3 Months**.
5. **THAT** the cost relating to the project shall be debited against the SCOA Vote, as indicated in the table below:

Project Number	149737	
Segment Description	Empumelelweni Bus and Taxi Road	
Function	Development Facilitation	
Region	Emalahleni Local Municipality	
Item	Transfers and Subsidies Planning and Development	
Project	Roads Infrastructure	
Funding	Equitable Share	

6. **THAT** the Contractor furnishes Nkangala District Municipality with acceptance letter of this contract within **five days** of receipt of this letter.
7. **THAT** the Retention be limited to the maximum of **10%** of the Contract Amount, which will be reduced to half upon the issue of a Practical Completion Certificate.
8. **THAT** the Consulting Engineer processes and submits the Contractor's approved payment certificates to Nkangala District Municipality within three days of submission by the Contractor, on/ or before the 20th of each month.
9. **THAT** the issuing of Cessions is expressly prohibited, except if and when prior written approval of the Nkangala District Municipality under the signature of the Municipal Manager for the issue of a Cession has been requested and obtained.
10. **THAT** although the Contingency amounts included in a contract may have been approved by Nkangala District Municipality when the tender was awarded, the utilization of these funds are subject to approval by Nkangala District Municipality.
11. **THAT** the work identified for performance by the identified Sub-Contractors to be a minimum of 30% of the overall total amount of Contractor's tendered rates and shall be executed by one or more Local Contractors with 1 and 2 CE CIDB grading.

We trust that the above will be found to be in order

Yours Sincerely,



Ms. M.M. Skosana
Municipal Manager